Outlook

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Origination risk versus what happened next

Team,

Before this becomes another standing report, can we answer the real question?

Loan files contain origination PD, LGD and ECL fields, but the bank needs to know whether risk ordering survives into later repayment behaviour. The possible stories are that missing or defaulted inputs create artificial separation, that product and vintage explain more than the score, or that higher PD bands show more arrears.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use February 2022 as the new evidence point rather than recycling the earlier conclusion. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. The first extracts did not reconcile, which means source precedence and exclusions must be part of the answer.

Please prepare a working Excel file with the exception population and clear columns. The output must help us decide whether recalibration, segmentation or data remediation is the next step.

Data available: the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations.

Please state the limitation plainly: The data supports discrimination and outcome analysis, not a complete IFRS 9 validation without default definitions, macro scenarios and accounting policy.

Thanks